

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL
(EUROPE) LIMITED, *Respondents*.

DOCKET NO. 24-08

Served: October 29, 2024

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

THIRD SCHEDULING ORDER

On February 14, 2024, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding. Complainants Impact Products, LLC and Safety Zone, LLC (“collectively, “Complainants”) allege that Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “Respondents” or “OOCL”) violated 46 U.S.C. §§ 41102(c) and 41104(a)(10) and 46 C.F.R. § 545.5 by assessing detention, demurrage, per diem, and yard storage charges that were not just or reasonable.

On March 8, 2024, OOCL filed a Motion to Dismiss. On May 17, 2024, Complainants filed an Amended Complaint, and consequently, the Motion to Dismiss was denied as moot on June 3, 2024. The parties were ordered to file a Joint Status Report (“JSR”) with a proposed schedule that completed discovery within 150 days of the filing of the Answer on June 7, 2024.

On June 17, 2024, the parties filed a JSR with proposed discovery and briefing schedule. Because the discovery schedule was impacted by the motion to dismiss, which similarly affected filing an answer, the discovery deadline was extended to November 4, 2024, and the briefing schedule was extended as follows: December 6, 2024, for Complainants’ initial brief; January 9, 2025, for Respondent’s opposition brief; and January 23, 2025, for Complainants’ reply brief. Because the Commission set the due date for the Initial Decision in this case as February 14, 2025, the order provided that there was no room for further extension absent the parties agreeing to a shortened period of discovery and submitting their briefs earlier.

On August 28, 2024, the parties filed a consent motion to stay proceeding on the ground that the claim in this proceeding appeared to have been sold in Complainants’ Chapter 11 bankruptcy case, and that a stay was necessary for the parties to determine whether the proceeding would continue, and, if so, to move for substitution of the purchaser as the proper party complainant. On September 6, 2024, an order granting the motion was entered staying the proceeding until September 30, 2024.

On September 27, 2024, Complainants filed a motion for leave to file a second amended complaint and seeking an order lifting the stay. On October 11, 2024, an order was entered granting Complainants' motion for leave to file a second amended complaint and denying the motion to lift the stay as moot. The order required Respondents to respond to the second amended complaint within 14 days after service. In addition, the order required the parties to submit a third joint status report by October 25, 2024, with a proposed amended scheduling order. Complainants filed a second amended complaint on October 15, 2024, in which the purchaser was substituted as the proper party complainant.

On October 25, 2024, the parties filed a joint status report and proposed amended discovery schedule. The parties stated that they do not currently anticipate needing depositions or interrogatories in this case in excess of the amounts contemplated by 46 C.F.R. §§ 502.143 (i.e., no more than 20 depositions) and 502.145 (i.e., no more than 50 written interrogatories), respectively. The parties also stated that with a single exception affecting three dates, the parties agree on a proposed amended discovery schedule. That one exception relates to the use of experts, as to which the parties presented their respective positions.

Complainants request that the expert deadlines be extended as follows: from September 2, 2024, to November 15, 2024, for Respondents to identify rebuttal expert witness if any; from August 26, 2024, to December 9, 2024, for Complainants to serve initial expert report if any; and from September 30, 2024, to January 6, 2024, (this appears to be a typo as to year with 2025 likely intended) for Respondents to serve expert rebuttal reports, if any. Otherwise, the parties proposed the following deadlines: March 27, 2024, to complete depositions (this appears to be a typo as to the year with 2025 likely intended); March 28, 2025, for the end of discovery; April 25, 2025, for Complainants' brief; May 23, 2025, for Respondents' brief, and June 6, 2025, for Complainant's reply brief. These deadlines are beyond the February 14, 2025, deadline for an initial decision and would necessitate an extension of that deadline.

In seeking an extension of the expert deadlines, a number of which expired prior to the September 6, 2024, order staying the proceeding through September 30, 2024, Complainants argue that the original complainant complied with all deadlines set forth in the second scheduling order until the bankruptcy sale on July 10, 2024, prevented further compliance. It further argues that the substitution of complainants was not immediate, that time was required to determine whether the purchaser would proceed with the case, and that the purchaser needed time to review relevant documents to do so. Complainants further argue that the absence of an extension would prohibit Complainants from fully presenting its case despite that an extension would not prejudice Respondents. Respondents argue that Complainants improperly seek a second bite at the apple by seeking to extend lapsed deadlines by many months without good cause for not complying with the deadlines in the second scheduling order. It notes that Complainants' deadline to submit an expert report expired on August 26, 2024, and that Complainants failed to take any measures to extend the deadlines after the transfer of assets to the purchaser on July 10, 2024. It argues that the purchaser necessarily acquired the action in the posture it stood. It argues that extending the expert deadlines will result in substantial delay. It also notes that the second scheduling order contained the following language:

The parties are reminded that a "scheduling order 'is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without

peril.” Johnson v. Mammoth Recreations, Inc., 975 F.2d 604, 610 (9th Cir. 1992) (quoting Gestetner Corp. v. Case Equipment Co., 108 F.R.D. 138, 141 (D. Me. 1985)). Moreover, “[p]arties cannot control an agency’s docket or procedures through agreement among themselves.” Simmons v. United States, 698 F.2d 888, 893 (7th Cir. 1983). The authority of courts to control their dockets is well settled. Link v. Wabash Railroad Co., 370 U.S. 626, 630-31 (1962); United States v. Hughey, 147 F.3d 423, 429 (5th Cir. 1998).

Respondent requests that the expert deadlines not be extended and that in that event the remaining deadlines suggested by the parties can be moved up accordingly.

Given that Respondents do not dispute Complainants’ allegation that the original complainant was unable to take any action after the transfer of debtor’s assets, the undersigned finds that Complainants have established good cause for an extension of the deadlines as set forth below to account for the three month period between the transfer of the assets in Complainants’ Chapter 11 bankruptcy case on July 10, 2024, and the entry of the order granting Complainants’ request to file a second amended complaint. Although Respondents are correct that the original complainant did not move to stay the deadlines in the scheduling order, the undersigned finds that the purchaser should not be penalized for this lapse and needed time to review the case filings. This modest adjustment in the schedule will ensure that the purchaser of the original complainants’ assets has a full and fair opportunity to present its case and will not unduly prejudice Respondents. As such, it is appropriate to amend the deadlines in the second amended scheduling order accordingly.

Accordingly, the parties are hereby **ORDERED** to follow this schedule (prior deadlines not referenced in this order remain unchanged):

November 8, 2024	Supplemental initial disclosures due
November 8, 2024	Complainants to identify expert witnesses, if any
November 22, 2024	Depositions of fact witnesses may begin to be noticed
November 29, 2024	Complainants to serve initial expert reports, if any
December 13, 2024	Respondents to identify rebuttal expert witnesses, if any
December 20, 2024	Expert depositions may begin to be noticed, if any
December 27, 2024	Respondents to serve rebuttal expert reports, if any.
January 1, 2025	Last date to serve supplemental written discovery requests
January 24, 2025	Parties to serve objections and responses to supplemental written discovery requests
February 4, 2025	Complete depositions of Fact and Expert Witnesses

February 4, 2025	Close of discovery.
March 6, 2025	Complainants' brief, proposed findings of fact, and appendix.
April 9, 2025	Respondents' opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix.
April 23, 2025	Complainants' reply brief and responses to proposed findings of fact.

Motions will not automatically stay other deadlines in the proceeding. If a motion could impact other deadlines, that should be clearly addressed in the motion and any response. All requests for extension of time will be reviewed for good cause, even if the parties agree on the requested extension. Pursuant to the Howard Coble Coast Guard and Maritime Transportation Act of 2014 and Commission Docket No. 15-06, attorney fees may be awarded to any prevailing party in a complaint proceeding. It is therefore in the best interest of the parties to proceed expeditiously.

The parties are reminded that a "scheduling order 'is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.'" *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)). Moreover, "[p]arties cannot control an agency's docket or procedures through agreement among themselves." *Simmons v. United States*, 698 F.2d 888, 893 (7th Cir. 1983). The authority of courts to control their dockets is well settled. *Link v. Wabash Railroad Co.*, 370 U.S. 626, 630-31 (1962); *United States v. Hughey*, 147 F.3d 423, 429 (5th Cir. 1998).

Any filing submitted without page numbers, including on exhibits, may be rejected. Parties must follow the instructions in the Initial Order, including the requirements for submitting confidential information. Parties may be required to refile any documents that do not follow the requirements below or in the Initial Order.

The parties' briefs, proposed findings of fact, responses to proposed findings of fact, and appendices shall be in the following forms:

1. **[Party's] Brief.** Each party shall file a brief meeting the requirements of Commission Rule 214, 46 C.F.R. § 502.214, with the exception that the proposed findings of fact and responses to the proposed findings of fact shall not count toward the page limit found in Rule 214(e). The brief should cite to evidence in the appendix using the required sequential numbers (see below).
2. **[Party's] Proposed Findings of Fact.** This document shall set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited, as nearly as practicable, to a single factual proposition. Each factual proposition shall be followed by an exact citation to evidence that the party contends will support the proposed finding of fact, e.g., a page number in the appendix. The party shall provide to each other party and to the Office of Administrative Law Judges an electronic copy of its proposed findings of fact

with the hard copy of its proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by email.

3. **[Party's] Responses to [Party's] Proposed Findings of Fact.** This document shall set forth verbatim each proposed finding of fact in another party's proposed findings of fact, then admit or deny the proposed finding. Each proposed finding of fact that an opposing party denies shall be followed by an exact citation to evidence that the opposing party contends will rebut the evidence the proposing party claims supports the proposed finding of fact. The opposing party shall provide to the party and to the Office of Administrative Law Judges an electronic copy of the response to [Party's] proposed findings of fact with the hard copies of the response to [Party's] proposed findings of fact. The electronic copy shall be in a word-processing format (e.g., Microsoft Word) and provided by email.
4. **[Party's] Appendix.** The evidence on which a party's proposed findings of fact or response to another party's proposed findings of fact is based shall be included in an appendix.
 - a. The cover of the appendix shall identify the party or parties that prepared the appendix;
 - b. The appendix should be in one PDF document, if practicable. The pages of the appendix shall be numbered sequentially, for example CX 1, CX 2 or RX 1, RX 2, etc.;
 - c. The appendix must begin with a table of contents identifying the page at which each individual document begins, and each exhibit should be clearly identified, for example, by a cover sheet or bookmark;
 - d. Each party shall ensure that all documents in its appendix are legible and in English or include a verified translation as required by Rule 7 (*see* 502 C.F.R. § 502.7); and
 - e. The parties are instructed to cite to a document in an appendix already in the record rather than include the same document in its own appendix. For instance, if Respondent contends that a document included in Complainants' appendix rebuts the evidence Complainant claims supports a proposed finding of fact, Respondent shall cite to Complainants' appendix rather than include a second copy of the same document in its own appendix.

The parties are directed to consult with each other to determine the most practicable way to send electronic copies of documents in a word-processing format to each other. The parties are directed to email the electronic copy in a word-processing format of required documents to the Office of Administrative Law Judges at the following email address: judges@fmc.gov, with opposing counsel copied. Word processing versions should not be submitted to the Office of the Secretary.

Mary A. Hervey - Digitally signed by Mary A.
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Date: 2024.10.29 08:52:04 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge